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Absa Kenya Q3 Earnings Note

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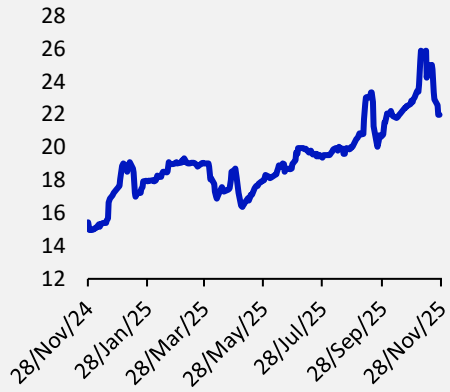
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ABSA Bank Q3'25 Earnings Note

28th November 2025

Ticker Information	
NSE Code:	ABSA
Issued Shares (Bn):	5.43
52-week high:	KES 26.00
52-week low:	KES 10.00

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	7.0%	12.0%	13.2%	53.0%

Source: NSE, AIB-AXYS Research

Recommendation	Current Price	Target Price
BUY	KES 21.95	KES 25.25

Summary

- **Absa delivered a resilient performance in Q3'2025, posting a 15.1% y/y rise in PAT to KES 16.92 Bn,** supported by lower loan loss provisions, disciplined cost control, and stronger non-interest income. The performance underscored Absa's ability to balance growth and stability in a margin-compressed environment leveraging a solid funding base, improved credit outcomes, and a diversified fee engine to protect earnings. The bank's reallocation toward government securities, coupled with healthier recoveries across key portfolios, further bolstered profitability despite softer loan-driven income. Overall, Q3 reaffirmed Absa's focus on quality earnings, efficient execution, and maintaining a resilient balance sheet.

Key Highlights

- **Income Drivers:** Absa's earnings performance in Q3'2025 was driven more by efficiency and credit gains than by top-line momentum, with PAT rising 15.1% y/y to KES 16.91Bn on the back of sharply lower impairments and disciplined cost control. Net interest income fell 5.3% y/y to KES 32.95Bn due to a 20.3% drop in loan interest income, on the back of lower margins from loans and advances, coupled with contraction in the loan book, though this was partly cushioned by a 54.1% rise in income from government securities as the bank shifted to safer assets. Non-interest income grew 11.2% y/y to KES 13.61Bn, supported by payments, digital lending, asset management, custody, and brokerage, offsetting softer loan fees and forex income. At the same time, operating expenses declined 13.0% y/y to KES 22.35Bn, showcasing ongoing digital and operational efficiencies. Overall, profitability strengthened on the back of improved cost leverage, revenue diversification, and significantly lower loan loss provisions.
- **Asset Quality:** Absa's asset quality improved in Q3'2025, with the NPL ratio declining to 12.6%, well below the industry average of 17.1%. Gross NPLs remained broadly stable, while net NPLs reduced further due to effective collections and credit discipline. Overall, the credit portfolio remains resilient despite amid a softer lending environment.

Balance Sheet Dynamics

Absa's balance sheet remained resilient in Q3'2025, with total assets rising 14.4% to KES 554.32Bn, supported by a deliberate reallocation into government securities amid a subdued lending environment, a well as taking caution the rising stock of NPLs.

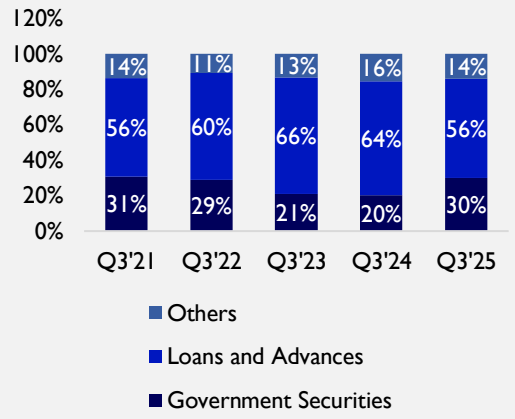
Lending activity remained conservative, with the loan book contracting 1.0% y/y to KES 309.72Bn, mirroring muted private-sector credit demand and tighter risk selection across key segments. On the funding side, customer deposits rose 9.1% y/y to KES 384.32Bn, outpacing loan growth and strengthening liquidity buffers, evidenced by an expanding deposit - loan gap. This improvement in funding stability provided the bank capacity to optimize its asset mix while supporting cautious credit expansion. Overall, ABSA enters the final quarter of the year with a well-capitalized and highly liquid balance sheet, positioning it to leverage emerging lending opportunities as macro conditions gradually improve.

Outlook

Absa's outlook for the remainder of 2025 remains constructive, supported by a well-diversified business model and continued investment in digital capabilities. Revenue prospects are expected to strengthen as momentum builds in corporate banking, business banking, and digital lending, segments that continue to deliver double-digit growth despite a softer credit environment. The bank's expanding non-funded income streams, including asset management, custody, bancassurance, and payments, are set to play a bigger role in cushioning margin pressures from slower loan repricing.

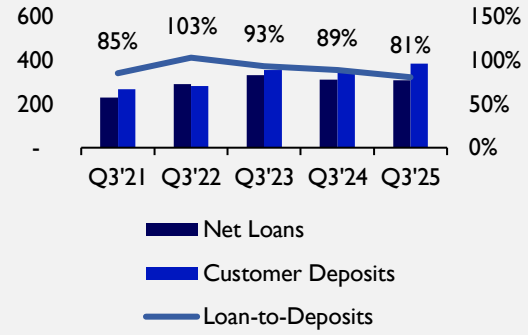
The retail franchise is also positioned for growth, underpinned by an expanded agency network, Eco Home Loans, and targeted propositions such as Sultana for women-led enterprises. Furthermore, Absa's leadership in sustainable finance as demonstrated by the landmark KES 20.10Bn solar securitization provides additional growth optionality as demand for green and structured financing accelerates. With a strong liquidity position, improving asset quality, and disciplined execution, the bank is well-placed to navigate the prevailing macro environment while capturing emerging growth opportunities.

Chart 2: Asset Composition



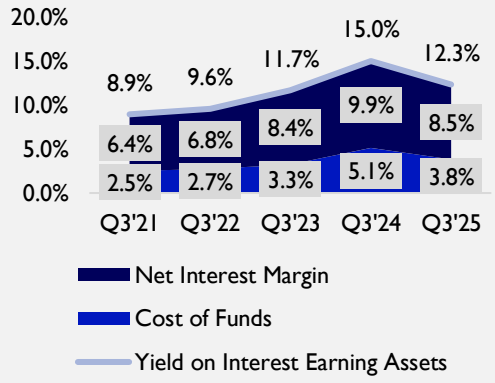
Source: Company filings, AIB-AXYS Research.

Chart 3: Faster Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Softening Cost of Funds



Source: Company filings, AIB-AXYS Research.

Recommendation

We maintain a BUY recommendation on ABSA, supported by its resilient earnings trajectory, strong liquidity position, and sustained growth in diversified non-funded income streams. At the current market price, the stock is trading at P/E ratio of 4.7x and a P/B ratio of 1.3x. Our one-year target price for ABSA currently stands at KES 25.25- representing a c 15.0% upside potential from current levels.

Income Statement (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	y/y % Change
Net Interest Income	18.58	23.27	29.32	34.53	32.95	▼ (4.6%)
Net non-Interest Income	8.74	10.18	10.83	12.23	13.61	▲ 11.2%
Total Operating income	27.31	33.45	40.15	46.76	46.56	▼ (0.4%)
Provision for Impairment	(3.40)	(5.03)	(6.76)	(8.03)	(4.85)	▼ (39.6%)
Total Operating expenses	(15.45)	(18.31)	(22.31)	(25.70)	(22.35)	▼ (13.0%)
Profit before tax	11.86	15.14	17.84	21.06	24.21	▲ 14.9%
Profit after tax	8.24	10.71	12.31	14.75	16.92	▲ 14.7%
Annualized EPS	2.02	2.63	3.02	3.62	4.15	▲ 14.7%

Balance Sheet (KES Bn)	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	y/y % Change
Government Securities	126.57	139.83	106.61	97.54	166.89	▲ 71.1%
Loans and Advances	229.08	289.45	330.93	311.46	309.72	▼ (0.6%)
Total Assets	411.42	481.35	504.92	484.35	554.32	▲ 14.4%
Customer Deposits	268.82	281.06	354.31	351.80	384.32	▲ 9.2%
Total Liabilities	356.79	421.09	439.61	407.03	459.96	▲ 13.0%
Shareholder's Funds	54.62	60.26	65.31	77.32	94.36	▲ 22.0%

Ratio Analysis	Q3'21	Q3'22	Q3'23	Q3'24	Q3'25	y/y % Change
Spreads Analysis						
Yield on Assets	8.9%	9.6%	11.7%	15.0%	12.3%	▼ (2.7%)
Cost of Funds	2.5%	2.7%	3.3%	5.1%	3.8%	▼ (1.3%)
Net Interest Margin	6.4%	6.8%	8.4%	9.9%	8.5%	▼ (1.3%)
ROaE	21.1%	23.2%	25.8%	26.4%	26.8%	▲ 0.5%
ROaA	2.6%	3.0%	3.3%	3.8%	4.4%	▲ 0.6%
Profit Margin	30.2%	32.0%	30.6%	31.5%	36.3%	▲ 4.8%
Operating Efficiency						
Cost to Income Less LLP	44.1%	39.7%	38.7%	37.8%	37.6%	▼ (0.2%)
Cost to Assets Less LLP	3.0%	3.0%	3.2%	3.6%	3.4%	▼ (0.2%)
Loan to Deposit Ratio	85.2%	103.0%	93.4%	88.5%	80.6%	▼ (7.9%)
Asset Quality						
Gross NPL Ratio	7.1%	6.6%	9.8%	12.6%	13.1%	▲ 0.5%
NPL Coverage	73.4%	80.0%	67.4%	65.3%	66.9%	▲ 1.6%
Cost of Risk	1.5%	1.7%	2.0%	2.6%	1.6%	▼ (1.0%)
Capital Adequeny						
Core Capital/TRWA	14.4%	13.8%	13.4%	15.6%	18.0%	▲ 2.4%
Total Capital /TRWA	17.0%	16.2%	17.7%	19.4%	20.9%	▲ 1.5%
Liquidity	38.3%	25.8%	29.8%	38.1%	49.8%	▲ 11.7%



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